

Research Briefing | Germany

VAT cut to send inflation on a roller-coaster ride

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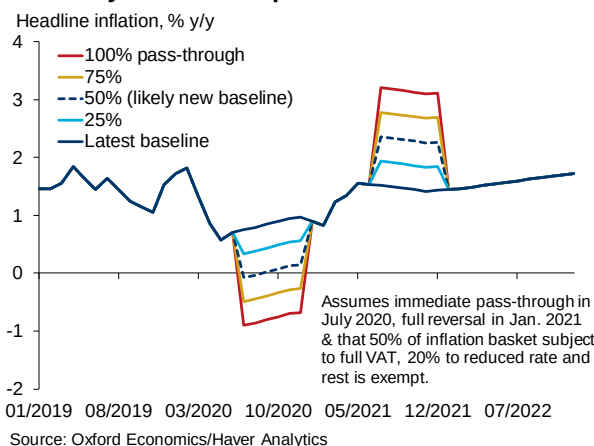
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- The temporary VAT cut in H2 2020, which forms the core of Germany's latest fiscal stimulus program, will send inflation on a roller-coaster ride. This year it will reinforce the recession's disinflationary effects, and it could lower inflation from our current baseline call of 1% to about 0.6%. The payback in H2 2021 may temporarily boost inflation to over 2%. The ECB will look through both effects.
- Full pass-through would let inflation drop to close to 0% this year and slip towards -1% in H2 2020. But we think pass-through will be only around 50% because many cash-strapped businesses will want to make up for forgone profits. And firms may decide that the administrative cost of adjusting prices twice within six months outweighs the potential boost to sales.
- Germany's 28% weight in the eurozone inflation basket means our 2020 inflation forecast of 0.5% could drop by 0.1ppt-0.2ppts, with inflation as low as 0% in Q4. Given the transitory and country-specific nature of the shock and low risks of it fuelling a price spiral, we don't see monetary policy implications.

A temporary VAT cut is the key measure in Germany's latest [fiscal stimulus package](#). The government proposed to lower the standard rate to 16% from 19% and the reduced rate to 5% from 7%, lasting from June to December this year. It expects this to cost about €20bn (0.6% of GDP) and to help jump-start the recovery. The measure's effectiveness is the subject of contested debate domestically. But we expect it to succeed in boosting consumer confidence and in enticing shoppers to bring forward purchases – the classic intertemporal substitution effect. However, we're less convinced that it will give a strong lift to households' real incomes because we expect only a partial inflation pass-through. Still, the VAT cut will clearly reinforce the recession's disinflationary impact this year, although the extent is quite uncertain.

Figure 1: VAT cut will reduce inflation in H2 2020 to about 0% and push it above 2% in H2 2021

Germany: VAT cut impact on inflation



The degree to which German businesses will pass through the VAT cut in H2 2020 to consumers is highly uncertain. The policy move is a surprise, temporary, and occurs in a very unusual economic setting, so historic precedent isn't likely to be a good guide. We assume firms will pass 50% of the VAT cut to consumers.

VAT cut to send inflation on a roller-coaster ride

This uncertainty stems from several factors. Historic precedent is lacking because all recent VAT changes in Germany were permanent, not temporary (**Figure 2**). The last major change, a 3ppts rise in 2007, triggered an initial, though limited, price response. Eventually, the VAT hike was largely but not fully passed on to consumers over the course of one-two years, according to [IMF](#) and [Bundesbank](#) research. A broader [IMF study](#) looking at the eurozone finds mixed evidence, but VAT cuts to the standard rate are mostly passed on to consumer prices after 12 months.

Yet, a VAT cut lasting only a few months may have quite different effects, for instance, given the costs from firms having to change prices twice in short order and the limited lead time of under a month. The UK's 13-month-long VAT cut in 2008 may offer a better comparison. The [IFS](#) found evidence that firms quickly reversed their initial price cuts, so that over the full period, pass-through fell well short of full. It also quoted another study finding that less than 50% of the cut may have been passed on to consumers.

The UK's experience may also be more relevant regarding firms' operating environment because the VAT cut was also meant as a stimulus measure to combat the Global Financial Crisis. Cash-strapped firms will carefully weigh the potential sales boost against the additional hit to margins after months of severely constrained sales. We're relatively optimistic that German consumers will return to stores even without much additional incentives, given the economy is [better placed than others to recover](#). Hence, repairing their balance sheets may be higher priority for firms, limiting pass-through.

Another complication could arise from how firms will be allowed to implement the cut. The ministry for the economy points to the option of an unbureaucratic approach via rebates, which raises a question of how the Statistical Office will account for that. All told, we're reluctant to assume full pass-through, so we'll assume only a 50% pass-through when revising our forecast next month.

Full pass-through would result in a drag of about 1.6ppts on annual inflation because the standard VAT rate applies to about half of the consumer basket. A fifth faces the reduced rate, and 30% is exempt. Assuming 50% pass-through for six months means we're likely to reduce our German CPI forecast for 2020 by 0.4ppts or so (**Figure 3**). This would mechanically reduce our eurozone inflation call by 0.1ppt-0.2ppts, but we see a similarly sized transitory boost to 2021 inflation as the price cuts are reversed.

Figure 2: VAT cut in 2020 is large, temporary & a surprise making it unlike historic precedents

Germany: VAT changes & inflation response

Change in pp (VAT) & % m/m for seasonally adjusted CPI

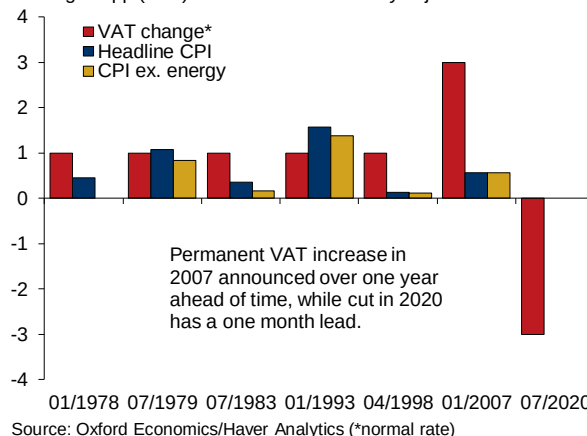


Figure 3: German VAT cut could reduce 2020 inflation in eurozone by up to 0.3pp

Eurozone: Inflation by German VAT scenario

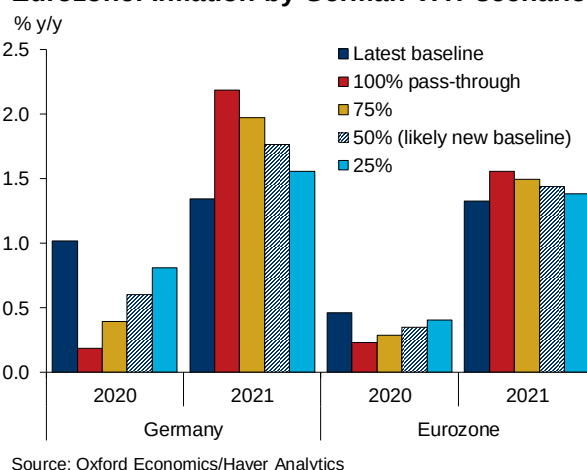


Figure 4: VAT cut to reinforce disinflationary effects of current recession

Germany: Price expectations & inflation

Normalized (LHS), % y/y (RHS)

